رواد مصر الرقمية

وزارة الاتصالات
وتكنولوجيا المعلومات

Accounts Payable Implementation Project

Microsoft Dynamics 365 Finance

Dynamics 365

- Presented by Accounts Payable group
- Group Code : CAI4_ERP7_G1
- Date:March-2026

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وزارة الاتصالات
وتكنولوجيا المعلومات

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Microsoft Dynamics 365

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وتكنولوجيا المعلومات

Introduction

Project: **This document outlines the configuration steps implemented in Microsoft Dynamics 365 Finance to deploy the Accounts Payable module for the Modern Electronics Distribution company.**

Date: March 2026

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Project Overview

Company Overview Modern Electronics Distribution is an electronics retail and distribution company specializing in supplying electronic products to the market.

The company aims to implement and optimize the Accounts Payable module in Microsoft Dynamics 365 Finance to enhance financial efficiency

The main objective is to automate and enhance the process of:

- Managing vendor invoices
- Scheduling vendor payments
- Tracking outstanding balances This implementation will help the company achieve better financial control and more efficient vendor management.

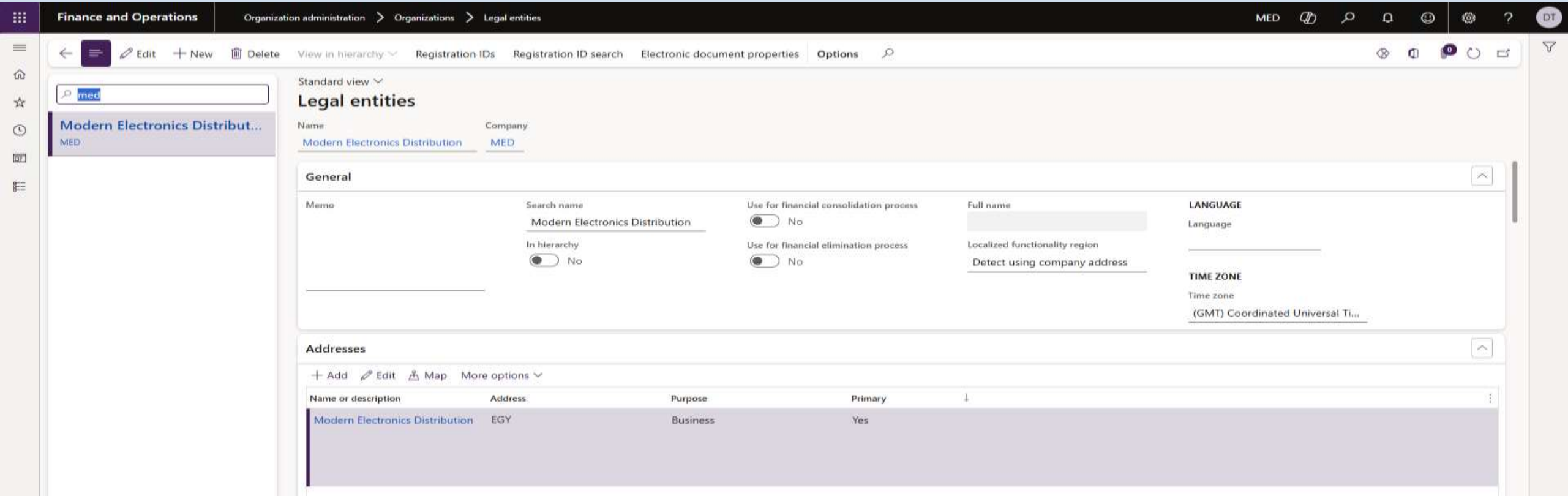
Client Requirements

- Record and manage Vendor invoices
- Track due payments and manage vendor credit terms
- Manage purchase orders linked with Vendor payments
- Automate payment processing and reconciliation
- Generate financial reports related to Vendor balances
- Provide training to the accounting team on the new system.

Company Financial Setup
Legal entities

The first step is to create a new Legal Entity containing the company name, country, and company data.

Form path Organization administration>Organiztion>Legal entitites



General Ledger Setup Financial Setup

General Ledger

- Chart of accounts
- Financial dimensions
- Fiscal calendars
- Configure account structures
- Currency exchange rates
- Journal names

Charts of accounts

Process code	01.01.01. Financial Management
Process name	Chart of accounts
Process description	Main account creation
Form path	General Ledger >> Chart of accounts >> accounts >> Chart of accounts

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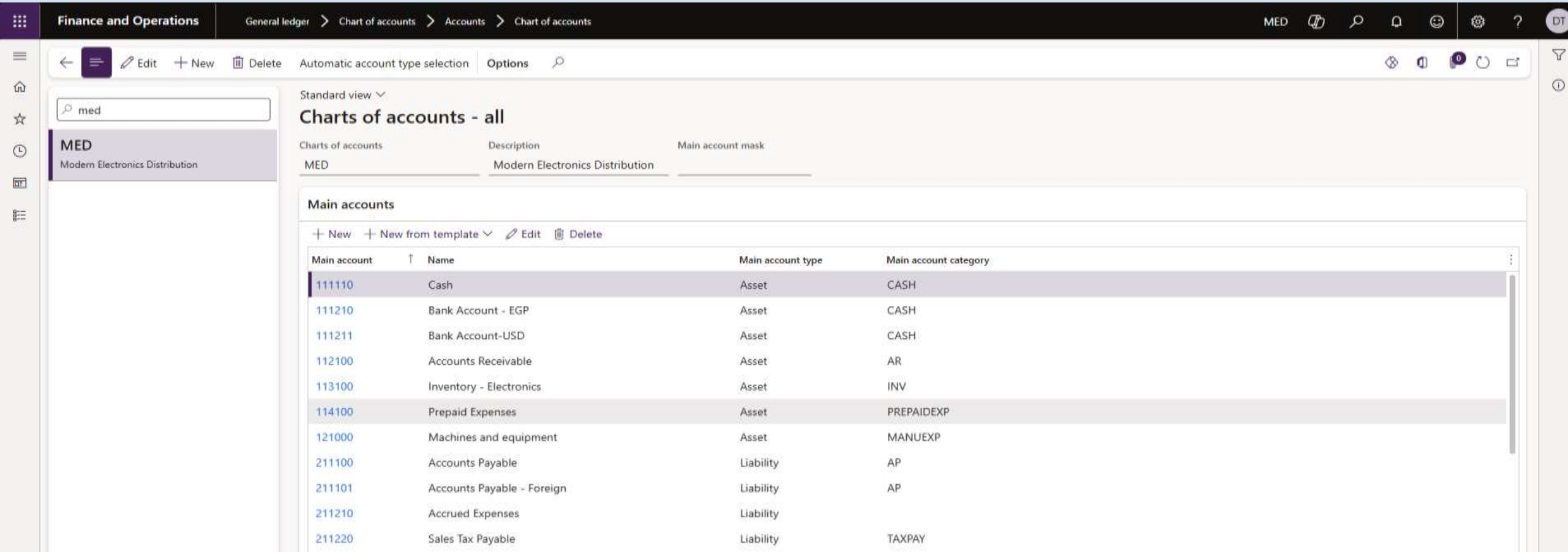
- **Create the main accounts in the chart of accounts.**



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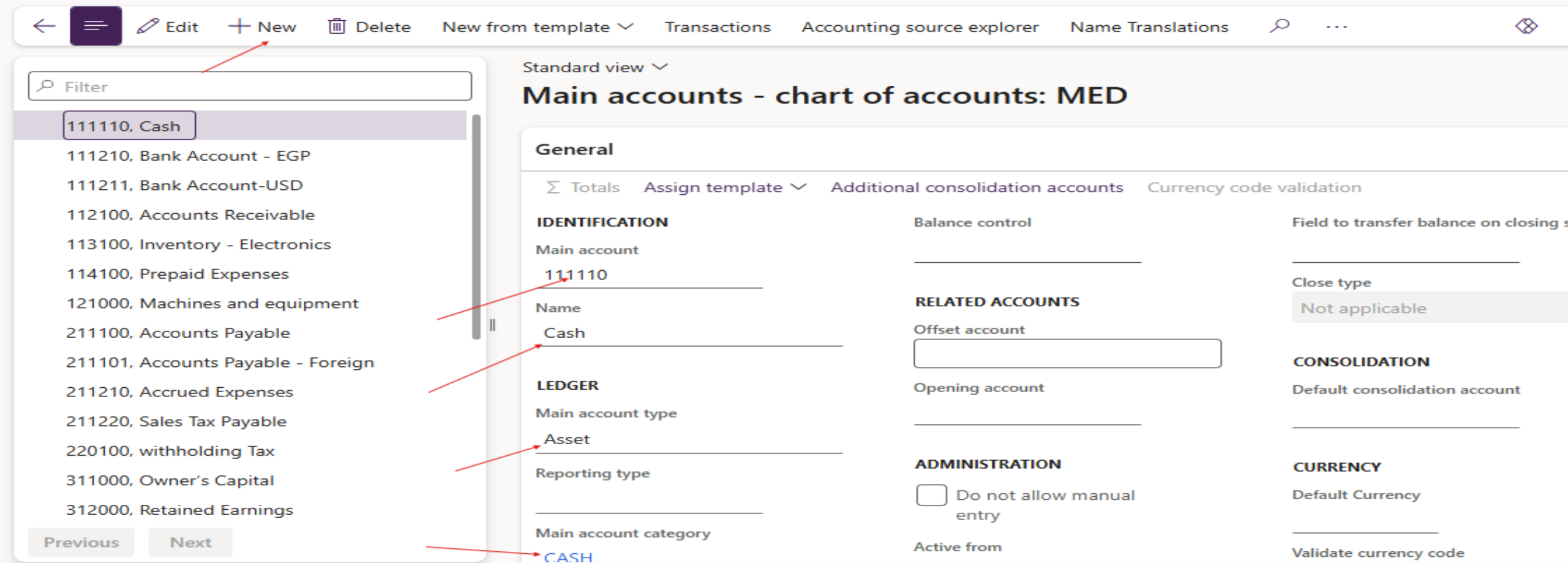
Clicking New will open the creation of the new account form.



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Screen Information:

1. Enter an account number in the Main account field.

2. Enter an account Name in the Name field

3. Select the Main Account Type.
4. Select main account category.

5. Select the Do not allow entry check box if a user should not be manually entering this account in a journal entry.
By selecting this check box, users are prevented from entering a value for this account.

6. Select the Default Currency in the Currency field.
7. Select the foreign currency revaluation check box if should can be used to revalue.

Financial Dimensions

Process code	01.02.01. Financial Management
Process name	Financial Dimensions
Process description	Create financial Dimensions
Form path	General ledger >> Chart of account >> Dimensions >> Financial Dimensions

Financial Dimensions

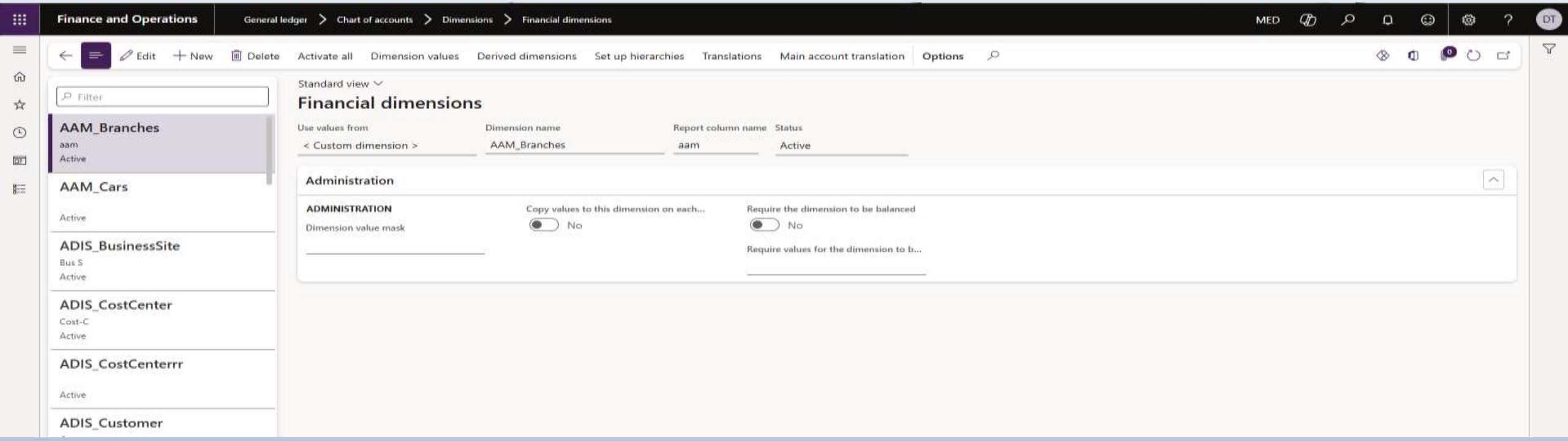
The financial dimensions are used to:

1. **Provide a more detailed description of a transaction.**
2. **Simplify the accounting process when you enable detailed analysis without the creation of a detailed Chart of Accounts.**
3. **Are defined to analyze and classify financial transactions as follows:**

- **Financial transactions usually are organized according to voucher and account number.**
- **Additional grouping and classification options are available when you assign several dimensions to transactions.**

1. **There are two types of financial dimensions:**
2. **Custom dimensions the values are entered and maintained by users such as branches.**
3. **Standard dimensions, the values are defined somewhere else in the system and automatically imported as dimensions, such as in Customers or vendors.**

Financial Dimensions



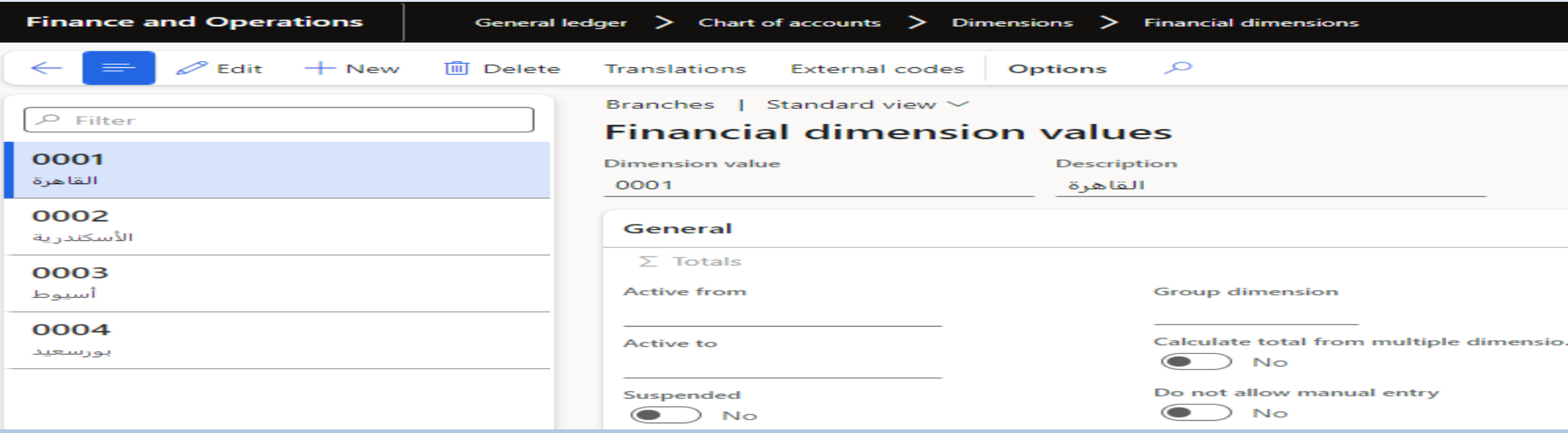
Screen Information:

1- Click new

2- from Use values from: select < Custom dimension > or select specific financial dimension

3- Click on dimension values in case of Custom dimension.

Financial dimensions



Screen Information:

1- Click new

2- From Dimension value: Enter dimensions code

3- From Description: Enter dimensions name

Fiscal Calendar

Process code	01.01.02. Financial Management
Process name	Fiscal Calendar
Process description	Create Fiscal Calendar
Form path	General ledger >> Setup >> Fiscal Calendars

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* We will create fiscal calendar start in 1/1 and end in 31/12

Finance and Operations | General ledger > Calendars > Fiscal calendars | MED

Edit | Delete calendar | New calendar | New year | Budget cycles | Options

Filter

Calendar MED

MED

2026
1/1/2026
12/31/2026

Standard view

Fiscal calendars

Calendar	Description
MED	MED

Fiscal year	Start date	End date
2026	1/1/2026	12/31/2026

Periods

Delete period | Create closing period | Divide period

Period name	Type	Start date	End date	Short name	Mo
Period 0	Opening	1/1/2026	1/1/2026		Or
Period 1	Operating	1/1/2026	1/31/2026		Or
Period 2	Operating	2/1/2026	2/28/2026		Tw
Period 3	Operating	3/1/2026	3/31/2026		Th
Period 4	Operating	4/1/2026	4/30/2026		Fo
Period 5	Operating	5/1/2026	5/31/2026		Fi

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Screen Information:

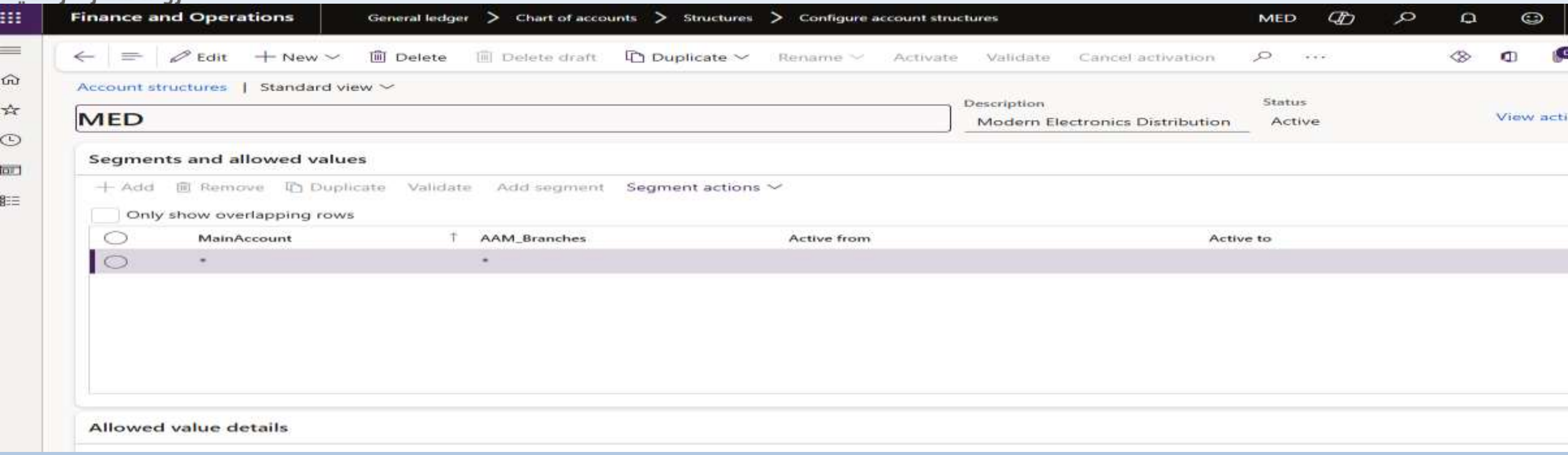
1. Enter Fiscal Calendar name in the Calendar field.
2. Enter Fiscal Calendar description in the Description field.
3. In the Start of fiscal year field, enter the start date of the first Fiscal Year in the Calendar (1/1).
4. In the End of fiscal year field, enter the end date of the first Fiscal Year in the calendar.
5. Enter the name of the first Fiscal Year in the calendar in the Fiscal year name field.
6. In the Length of period field, enter 1.
7. In the Unit field, click the arrow to select Months.
8. Click the Create button to create the year.

Configure Account Structures.

Process code	01.02.02. Financial Management
Process name	Configure account structures
Process description	Create account structures
Form path	General ledger >> Chart of accounts >> structures >> Configure account structures

Account structures use the main account and financial dimensions to create a set of rules that determine the order and values used when entering the account number.

Configure account structures



Screen Information:

1- From Add segment we can add all financial dimensions we need

2- From Activate we can active the account structures

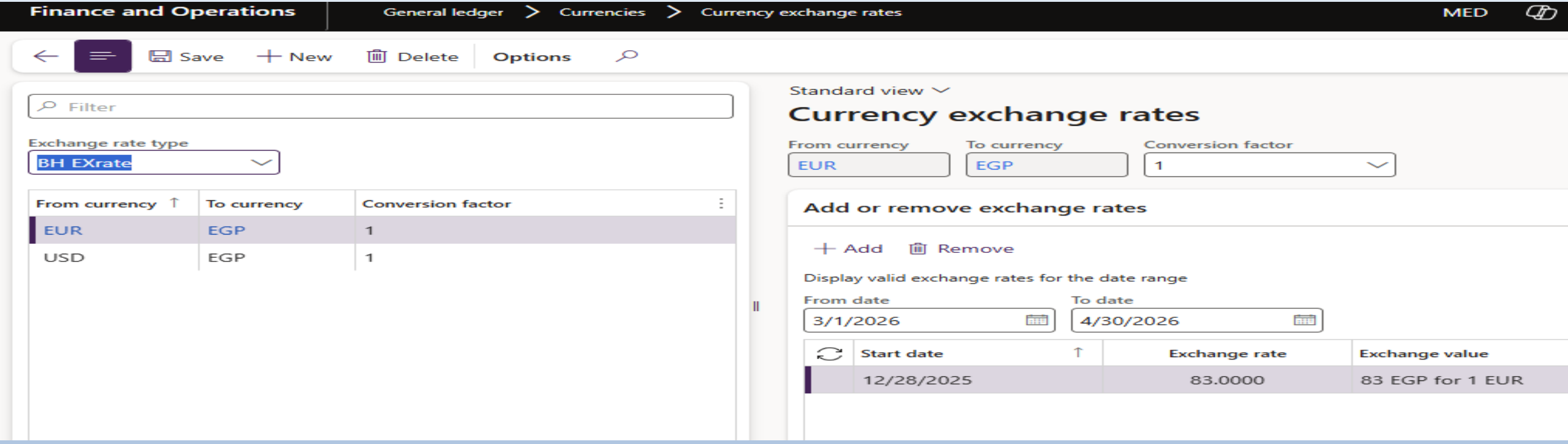
Note: we can make any financial dimension mandatory or optional in accounting entries by using checkbox Blank values are allowed.

Currency Exchange Rate

Process code	**01.06.01. Financial Management**
Process name	**Currency exchange rates**
Process description	**Create exchange rates**
Form path	**General Ledger >> Currencies >> Currencies >> Currency exchange rates**

*** In Microsoft Dynamics 365, all currencies are provided by default and we will use the Egyptian pound as the functional currency.**

Currency Exchange Rate



Screen Information:

1. **Click the New button.**
2. **Define the necessary exchange rates between a currency pair by selecting a currency in the from currency and the two currency drop-down list.**
3. **Define the start date and exchange rate, exchange value will be calculated automatically.**

General ledger> Ledger setup> Ledger

Finance and Operations | General ledger > Ledger setup > Ledger | MED

Save | Ledger calendar | Recalculate ledger periods | Change chart of accounts | Options

Standard view

Ledger

Description	Chart of accounts	Fiscal calendar	Balancing financial dimension
Modern Electronics Distribution	MED	MED	

Account structures

+ Add | Remove | Configure account structures

Account structure	Name
MED	Modern Electronics Distribution

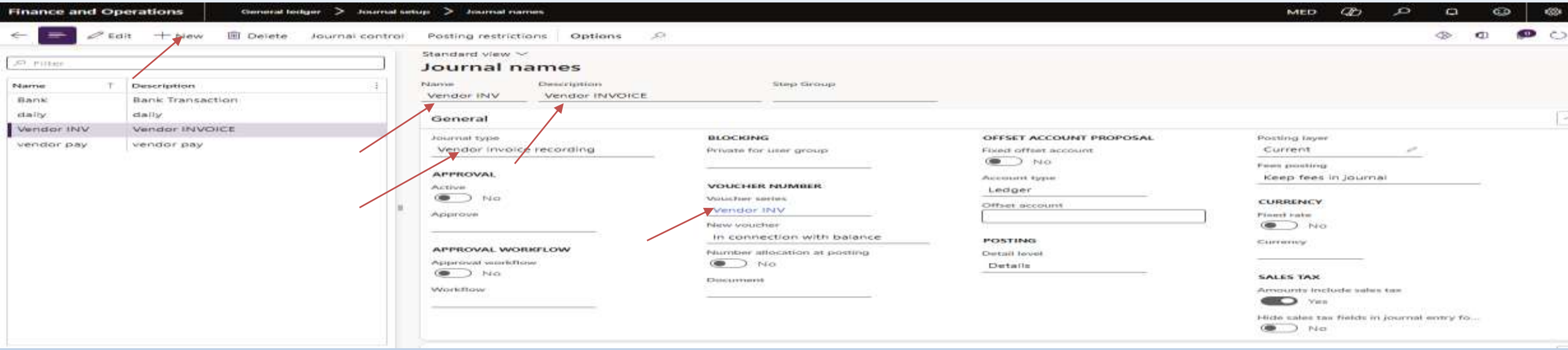
Currency

Accounting currency	Reporting currency	Accounting currency exchange rate type	Reporting currency exchange rate type	Budget exchange rate type
EGP		BH EXrate		Budget

Journal Names

Process code	01.03.01. Financial Management
Process name	Journal names
Process description	Create Journal names
Form path	General Ledger >> Journals Setup >> Journal names

Journal Names



Screen Information:

1. Enter a recognizable journal name in the Name field.
2. Enter a description of the journal that clearly describes the purpose of the journal in the Description field.
3. Select the type of journal in the Journal type list. The journal type determines what the journal is used for and in which module it is available. For example, the customer payment Journal type is used only for customer payment journals.
4. Approval is to activate the approval of certain users on the journal transactions before posting.
5. Blocking is to allow only certain users to use this journal
6. Voucher series is the number sequence (serial) of the vouchers in the selected journal

Account Payable

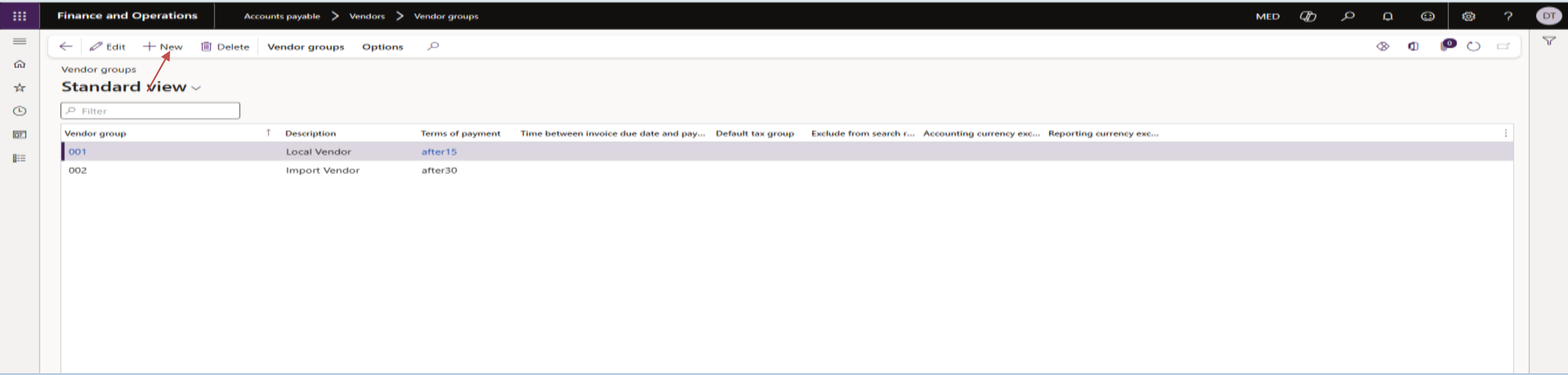
- **Setup**
  - Vendor Groups
  - Vendor Posting Profile
  - Create New Vendors
  - Methods Of Payment
- **Transaction**
  - Invoice Journal
  - Vendor Payment Journal

Vendor Groups

Process code	04.01.01. Financial Management
Process name	Vendor Groups
Process description	Vendor Groups
Form path	Accounts payable >> Vendors >> Vendor Groups

* Use vendor groups to set up certain information that always defaults when you enter a new vendor.
*For example, use the vendor group to set up automatic posting to General *Ledger accounts generated by vendor transactions.
*In the Vendor groups form, set up vendor groups. You must set up at least one vendor group, because a vendor group must be specified when you create a new vendor.

Vendor Groups



Screen Information

1. Click the New button to create a new record.
2. Enter a short name or code for the vendor group in the Vendor group field.
This name is used throughout the system.
3. Enter the full name of the vendor group in the Description field.

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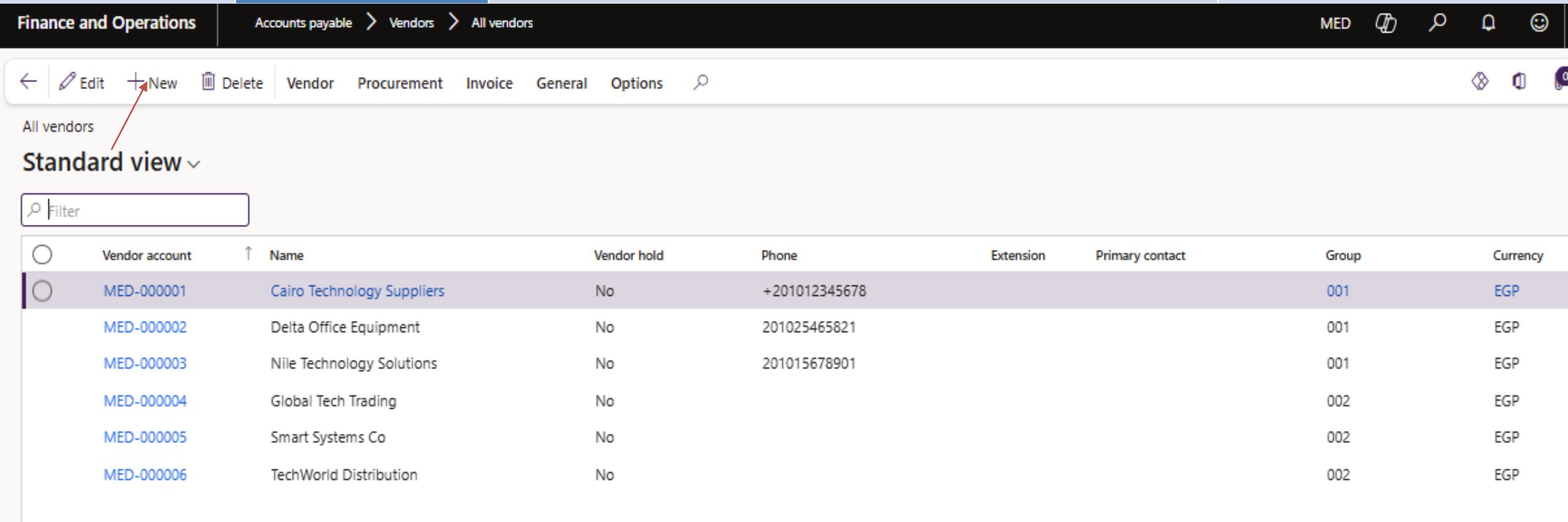
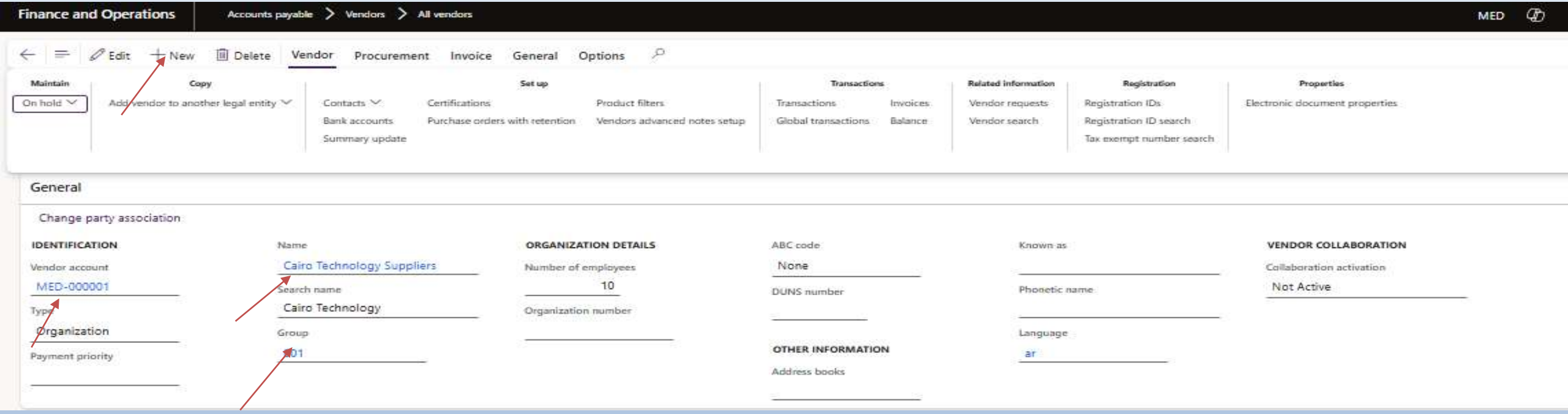
Create New Vendors

Process code	**04.01.02. Financial Management**
Process name	**Create New Vendor**
Process description	**Create New Vendors**
Form path	**Accounts payable > Vendors > All Vendors**



Create New Vendors

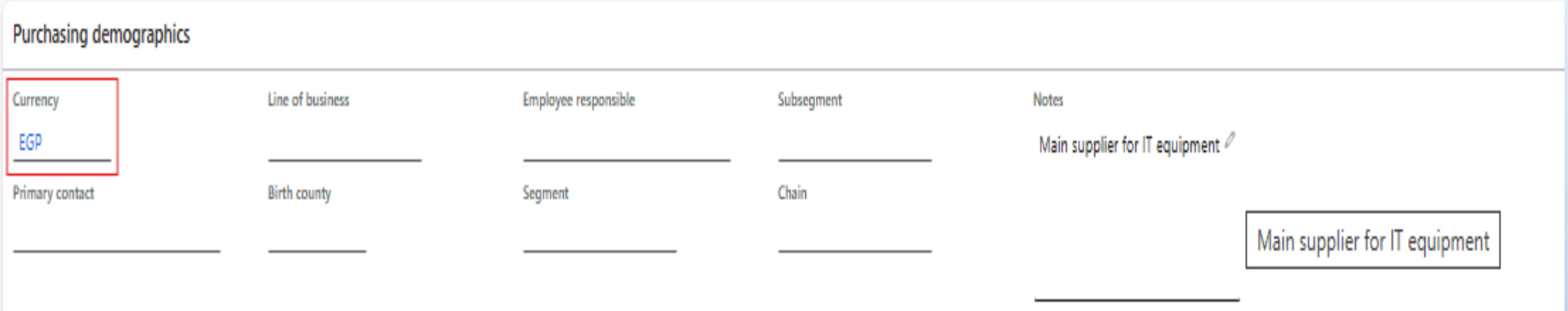
1- Click “New” to open the Vendor form for creation of new vendor.



Screen Information

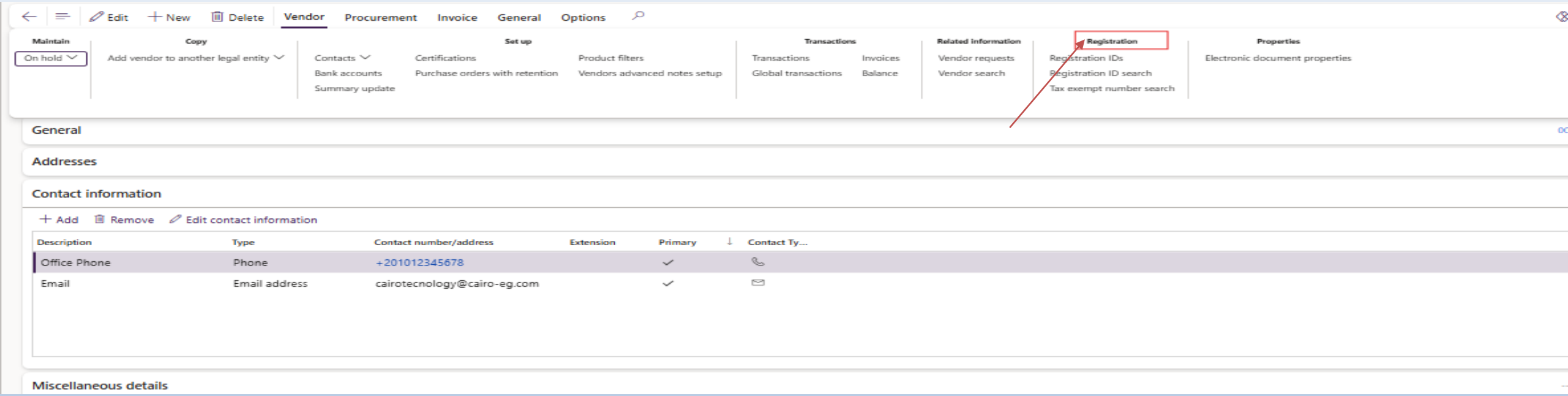
1. Enter the Vendor ID with up to 10 characters in the Vendor account field application will generate it automatically.
2. Enter the vendor’s name with up to 30 characters in the Name field.
3. Select the vendor group to which the vendor belongs in the Group list.

Create New Vendors



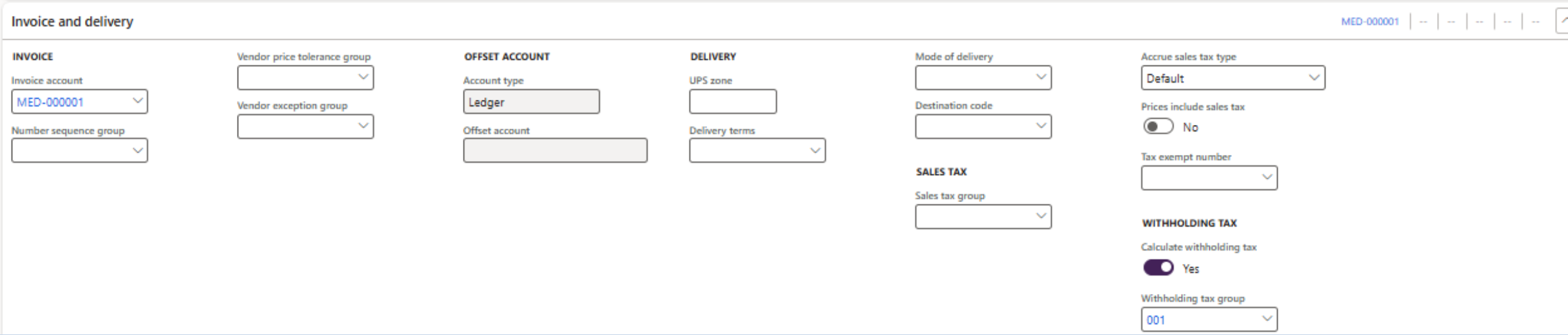
4. select the default vendor currency.

Create New Vendors



5. Enter the vendor's addresses on the Addresses Fast Tab.
6. click the registration ID

Create New Vendors



9-you can add invoice account which is more like parent-child relationship where finance side is owned by invoice account and order processing / fulfillment is done by order account. If left blank, then invoice account is same as vendor account.
10- You can set up a default tax profile (Withholding tax & Sales tax) for a vendor.
By default, the tax information is used when you create transactions for the customer or vendor.
However, you can change the default information for individual transactions if you have to.

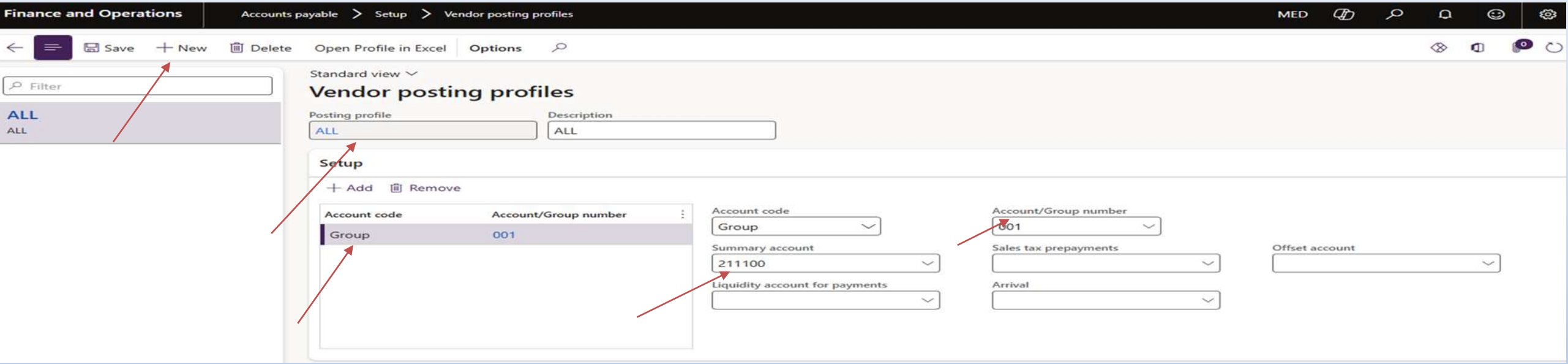
Note Withholding tax will not be calculated if the Calculate withholding tax checkbox is not switched on for this vendor.

Vendor Posting profiles

Process code	04.01.03. Financial Management
Process name	Vendor Posting Profile
Process description	Vendor Posting Profile
Form path	Accounts payable > Setup > Vendor Posting Profiles

Vendor posting profiles enable you to assign general ledger accounts and document settings to all vendors, a group of vendors, or a single vendor.

Vendor Posting profiles



Screen Information

1. Click the New button to create a new record.
2. Enter a code or a short name for the posting profile in the Posting profile field.
3. Enter a description of the posting profile in the Description field.
4. From the Vendor posting profiles form, click the Setup Fast Tab.
5. Click the Add button to add a new line.
6. Select an Account code:
   - Table
   - Group
   - All

Vendor Posting profiles

7. Specify which vendors belong to the current posting profile in the Account/Group number field.
If Table is selected in the Account code field, enter the account number of the vendor to whom the posting profile relates.

If Group is selected in the Account code field, enter the vendor group to which the posting profile relates.
If All is selected in the Account code field, do not fill in the field.

8. Select the account number of the ledger account that is used as the vendor summary account (Accounts Payable) for the vendor(s) to whom the posting profile relates in the Summary account field.

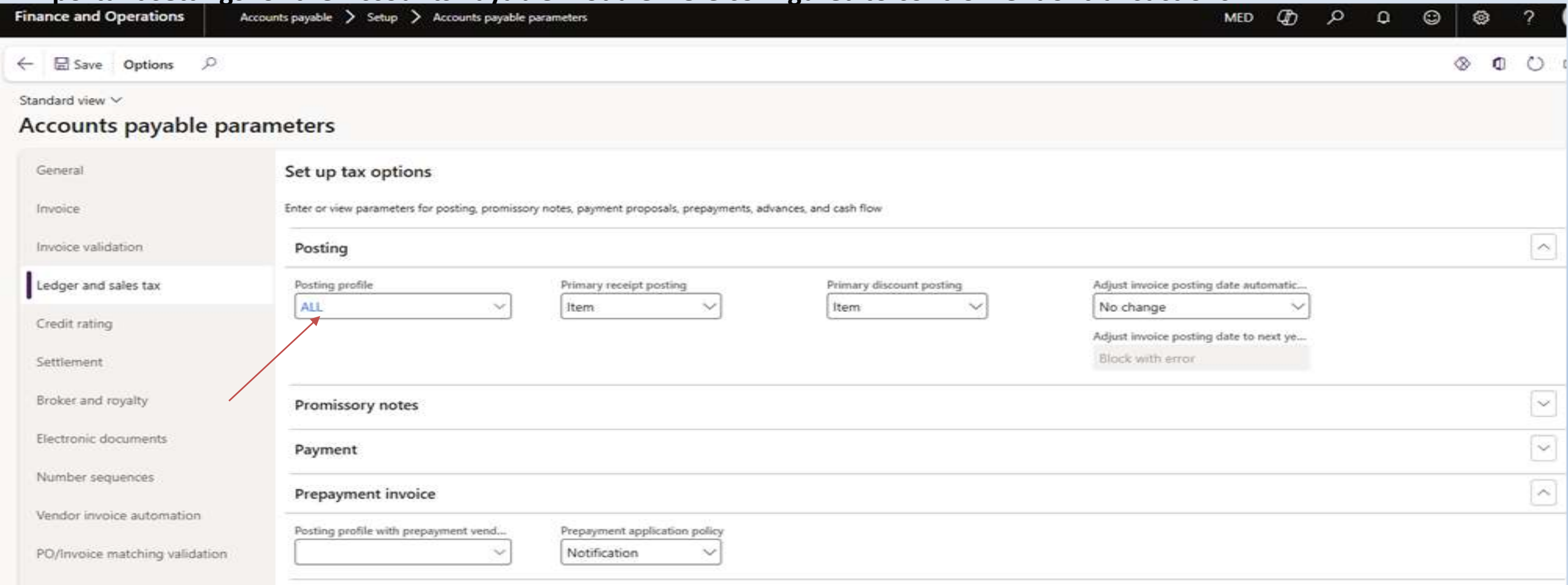
Accounts Payable Parameters

Form path

Accounts Payable → Setup → Accounts Payable Parameters

Explanation

Important settings for the Accounts Payable module were configured to control vendor transactions.



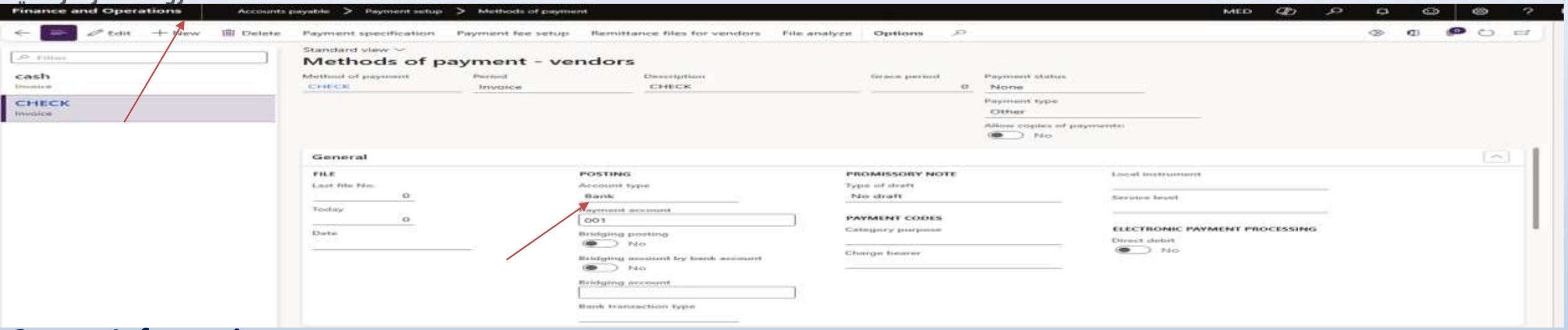
Methods of Payment

Process code	04.03.01. Financial Management
Process name	Methods Of Payment
Process description	Methods Of Payment
Form path	Accounts payable > Payment Setup > methods of Payment

In the Methods of payment form, specify all the methods of payment the company uses to pay its vendors.

For each method of payment, enter information that states how payments should be summarized and posted.

Methods of Payment



Screen Information

1- Click the New button to create a new record.

2- Enter a name for the new method of payment in the Method of payment field

3- Enter a description of the method of payment in the Description field.

4- Enter the Account Type (Ledger, Bank….) and the payment account for this method of payment.

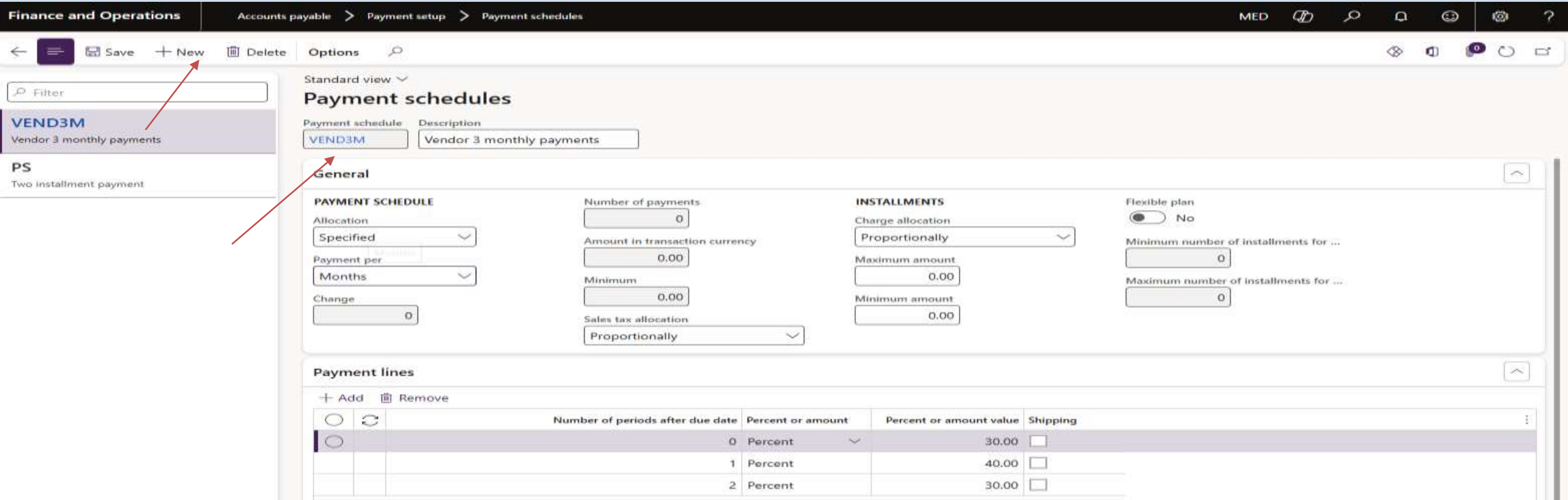
5- incase of methods of payment checks active checkbox Bridging posting and select main account for Bridging account.

Payment Schedules

Form path

Accounts Payable → Setup → Payment schedules

A Payment Schedule is a feature used to split a total invoice or payable amount into multiple payments over time, instead of paying the full amount at once.



Payment Terms

Form path

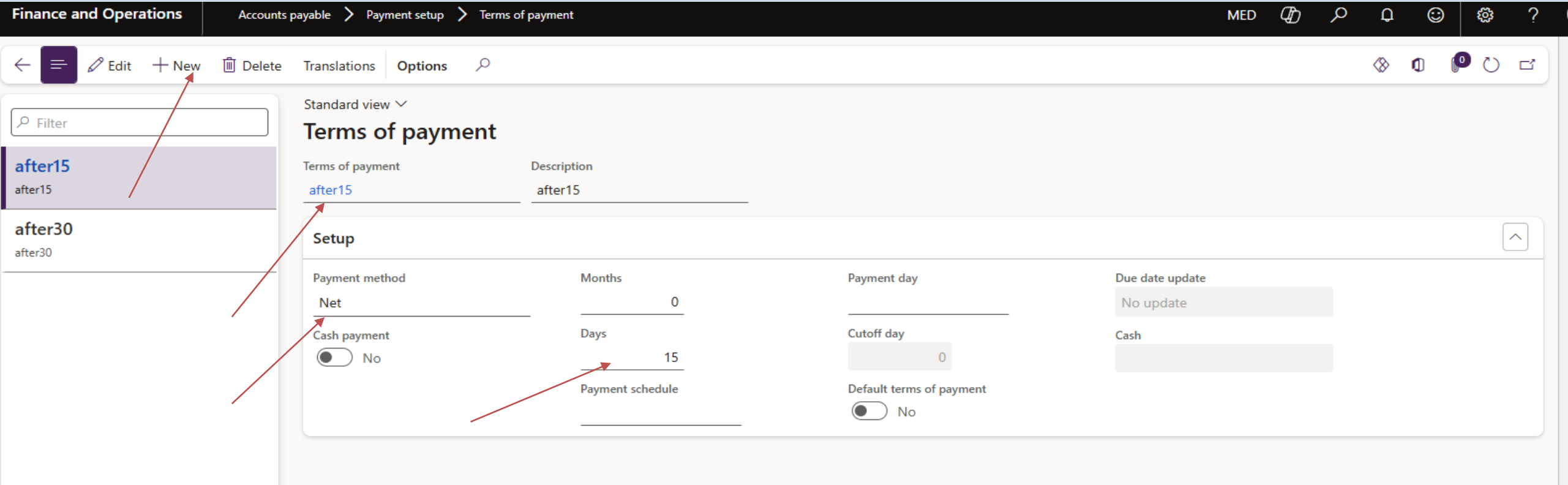
Accounts Payable → Setup → Payment Terms

Explanation

Payment terms define when vendor invoices must be paid.

Examples created:

- Net 15
- Net 30



Cash Discounts

Form path

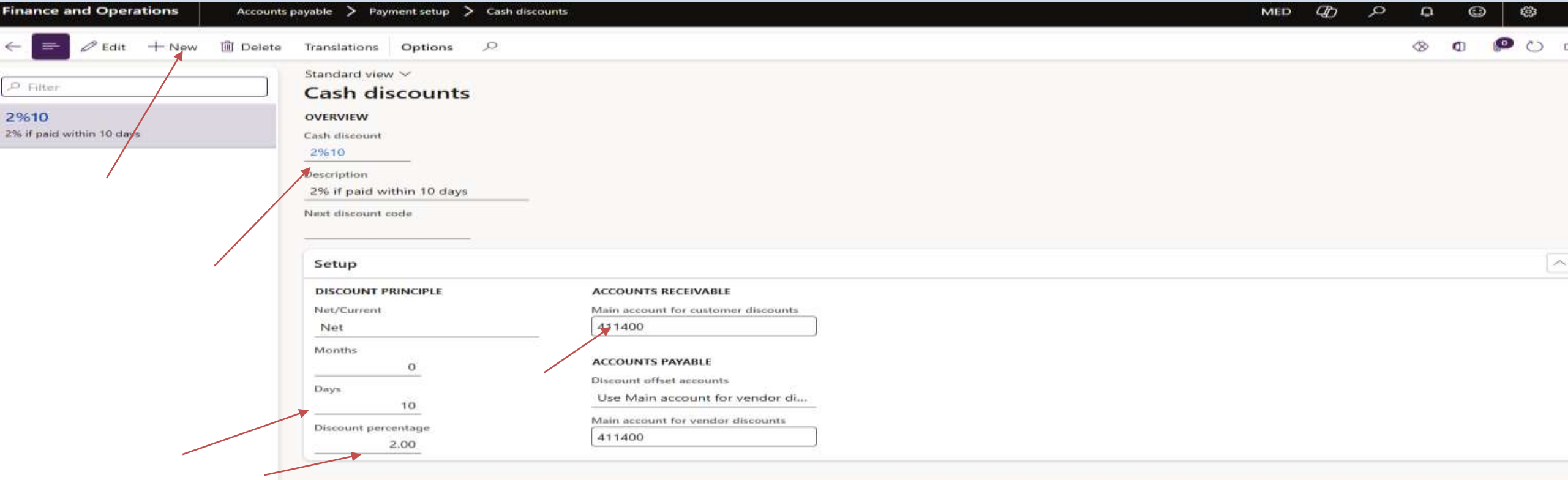
Accounts Payable → Setup → Cash Discounts

Explanation

Cash discounts were configured to allow early payment discounts.

Example:

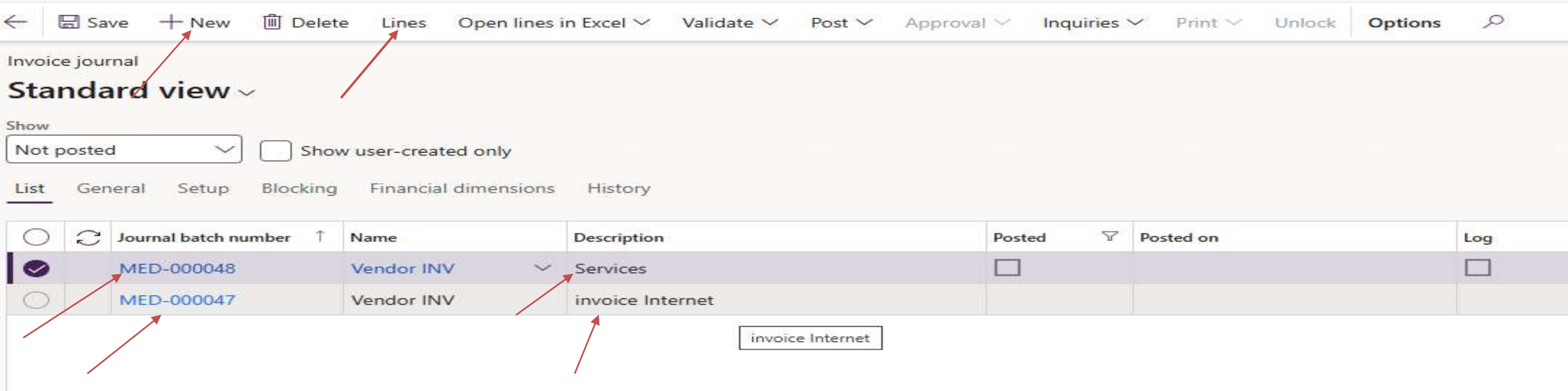
2% discount if paid within 10 days.



Invoice Journal

Process code	04.02.02. Financial Management
Process name	Invoice Journal
Process description	Invoice Journal will be used to record the purchasing transactions of services
Form path	Accounts payable > Invoices> Invoice Journal

Click “New” and choose the invoice journal and enter the required description for the journal



Invoice Journal

Click “Lines” to open the journal voucher screen to record the invoice.

Finance and Operations | Accounts payable > Invoices > Invoice journal

Save | Post | Post in batch | Validate | Period journal | Functions | Inquiries | Print | Options

Vendor invoice journal | MED-000047

Validate
Validate voucher only
Simulate posting

Standard view

List | General | Invoice | Cash discount | Fixed assets | Remittance | History | Foreign trade

New | Delete | Settle transactions | Financial dimensions | Sales tax | Functions | Voucher | View marked transactions | Deferrals

Date	Voucher	Deferred	Account type	Account	Account name	Financial tags	Invoice date	Invoice	Description	Debit	Credit	Total amount	Currency	Offset account type	Offset accou
4/4/2026	Ven INV-0000000...	☐	Vendor	MED-000002	Delta Office Equipment		4/4/2026	98	فاتورة انترنت		1,000.00	-1,000.00	EGP	Ledger	615000-Cairo

INVOICE

Terms of payment: after15

Payment schedule:

Due date: 4/17/2026

SALES TAX

Calculated sales tax amount: 0.00

Actual sales tax amount: 0.00

Accrue sales tax type: Default

Vendor charged sales tax: 0.00

CASH DISCOUNT

Cash discount:

Cash discount date:

Cash discount amount: 0.00

	DEBIT	CREDIT	BALANCE
VOUCHER	1,000.00	1,000.00	0.00
JOURNAL	1,000.00	1,000.00	0.00

Budget check results: Budget check not performed

View subledger journal | Transaction origin | Transactions | Audit trail | Edit voucher | Posted sales tax | Original document | Accounting source explorer | Reverse transactions | Reversed tracing | Related vouchers | All related vouchers | View reversal failures

Voucher transactions | MED-000047 : Ven INV-000000020

Standard view

Overview | General

Journal number	Voucher	Date	Year closed	Account display value	Account name	Description	Currency	Amount in transa...	Amount	Posting type
MED-000212	Ven INV-000000020	4/4/2026		615000-Cairo	Services	فاتورة انترنت	EGP	1,000.00	1,000.00	Ledger journal
MED-000212	Ven INV-000000020	4/4/2026		211100-Cairo	Accounts Payable	فاتورة انترنت	EGP	-1,000.00	1,000.00	Vendor balance

Invoice Journal

Screen Information

1- Enter the posting date in the Date field. The system date displays, but you can change it.

2-The Voucher is entered automatically according to the number sequence attached to the journal.

3- Select the vendor to register the invoice of in the Account field.

4- Enter the invoice number in the Invoice field. You cannot post the invoice register if you do not specify an invoice number.

5- Select the description regarding the transaction in the Description field.

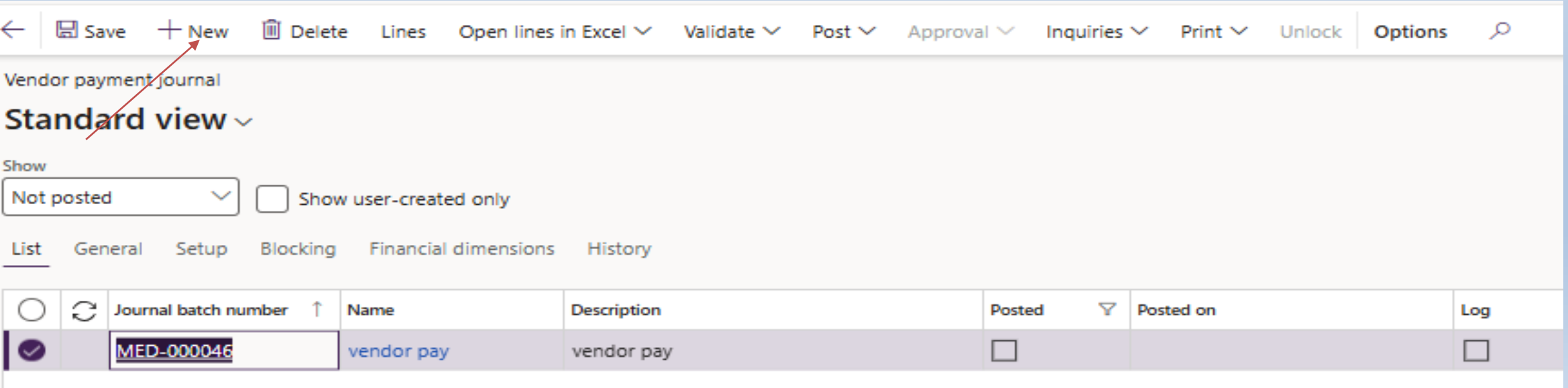
6- Enter the appropriate amount in the given currency Credit fields. Select the offset account type and account.

7- Select the currency.

Payment Journal

Process code	04.04.01. Financial Management
Process name	Payment Journal
Process description	Payment To vendor
Form path	Account payable > Payments > Payment Journals

1- Go to Accounts payable > Payments > Payment journal.
2- Click New to create a new payment journal.
3- Select journal name and enter Description.



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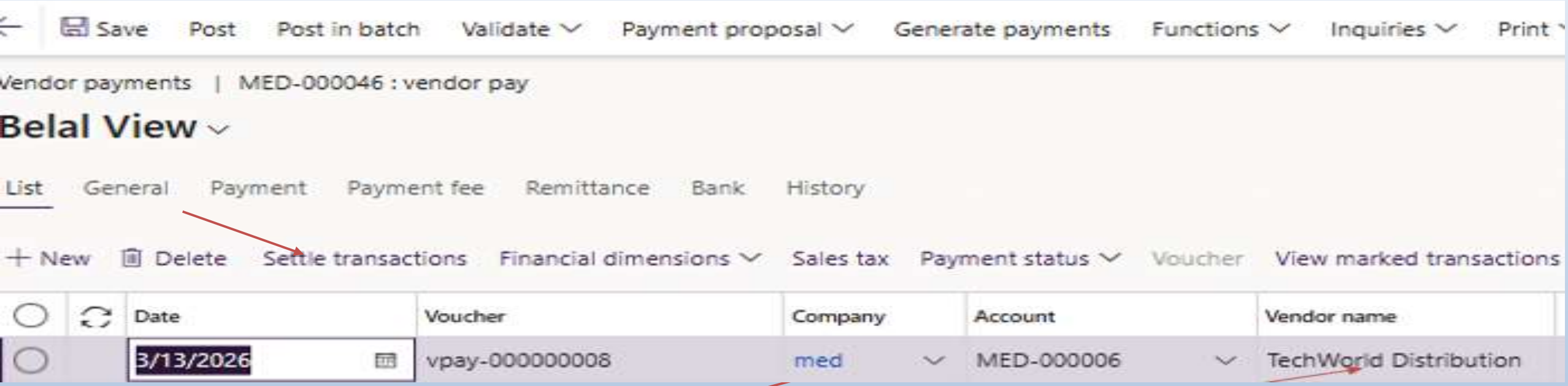

4- Invoices can be paid in full or partially through the payment vouchers.
5- The payment information can be manually filled or choose the vendor in the voucher and then choose “settle Transactions” and select the invoice that is needed to be paid, and the system will generate the information required to be filled.
6- This will open “Settle Open Transactions” screen from which to choose the invoice to be paid from the list of open invoices of the chosen vendor.

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Invoice: 6, Invoice currency: EGP, Settled amount in invoice currency: 30,000.00, Withholding tax code: 001, Withholding tax in invoice currency: 300.00

Standard view

Settle transactions for TechWorld Distribution

Overview | General | Payment | Settlement | Remittance | Cash discount | Financial dimensions | Withholding tax

Mark selected | Unmark all | Show marked | Apply payment schedule | Inquiry

	Mark	Fully settle	Invoice	Due date	Cash discount date	Amount	Currency	Amount to set...	Amount to settle in EGP	Cross rate	Cons
✓	☐	☐	6	4/5/2026		30,000.00	EGP	-30,000.00	-30,000.00		
	☐	☐	7	4/9/2026	4/9/2026	10,000.00	EGP	-10,000.00	-10,000.00		
	☐	☐	No	3/27/2026	3/27/2026	20,000.00	EGP	-20,000.00	-20,000.00		
				3/13/2026	3/13/2026	15,000.00	EGP	15,000.00	15,000.00		

To...

4 rows

LINE DETAILS

CASH DISCOUNT	AMOUNT	TAKEN	TO TAKE	FULL SETTLEMENT	INVOICE DATE	COMPANY	VOUCHER	DESCRIPTION
TRANSACTION CURRENCY: EGP	0.00	0.00	0.00	0.00	3/5/2026	med	Ven INV-000000002	فاتورة خدمات

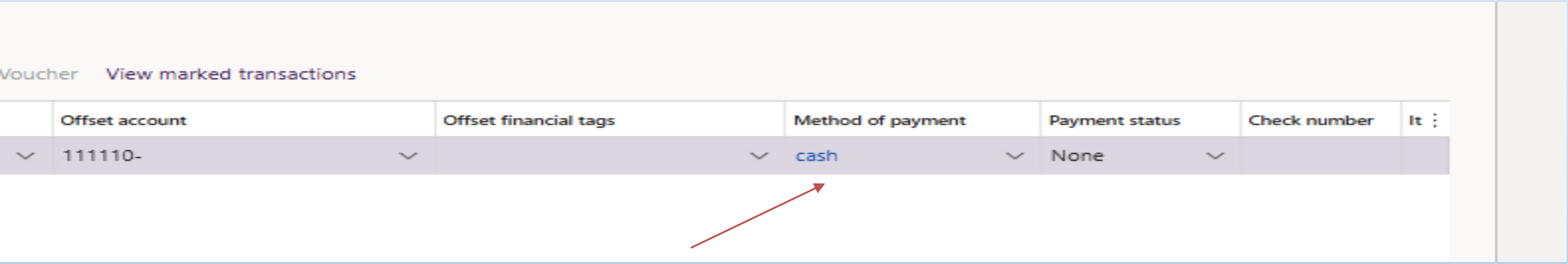
TOTALS

	PAYMENT AMOUNT	SETTLEMENT BALANCE	ESTIMATED CASH DISCOUNT	VENDOR BALANCE
ACCOUNTING CURRENCY: EGP	29,700.00	29,700.00	0.00	-75,000.00
PAYMENT CURRENCY: EGP	29,700.00	29,700.00	0.00	

8- Check the box in the “Mark” column to choose the invoice or several invoices.

9- withholding tax will be automatically calculated if you set the Calculate withholding tax checkbox to Yes in the vendor card.

10- Then user can choose the method of payment or chose offset account and post.



Financial reports related to Vendor balances

Vendor Transactions Report

Form path

Accounts Payable → Inquiries → Vendor transaction

Description

This report display all financial transactions redated to vendors within a specific period

Vendor transactions

Modern Electronics Distribution

Vendor account	Name
MED-000001	Cairo Technology Suppliers

				Amount in transaction currency		Amount in accounting currency			
Voucher	Date	Description	Currency	Debit	Credit	Debit	Credit	Settled voucher	Trace number
MED-140000078	3/13/2026	سداد فاتورة مورد رقم 120	EGP	100.00	0.00	100.00	0.00	Ven INV-000000013	
MED-140000079	4/3/2026		EGP	200.00	0.00	200.00	0.00		
Ven INV-000000001	2/1/2026	فاتورة خدمات	EGP	0.00	10,000.00	0.00	10,000.00		
Ven INV-000000013	4/3/2026	Marketing and Advertising	EGP	0.00	10,000.00	0.00	10,000.00	vpay-000000005	
Ven INV-000000014	3/5/2026	Services	EGP	0.00	10,000.00	0.00	10,000.00		
Ven INV-000000016	1/1/2026	Electrical tools	EGP	0.00	10,000.00	0.00	10,000.00		
vpay-000000005	3/13/2026	سداد فاتورة مورد رقم 120	EGP	9,700.00	0.00	9,700.00	0.00	Ven INV-000000013	
Total						**10,000.00**	**40,000.00**		

MED-000002	Delta Office Equipment

				Amount in transaction currency		Amount in accounting currency			
Voucher	Date	Description	Currency	Debit	Credit	Debit	Credit	Settled voucher	Trace number
MED-140000048	3/10/2026		EGP	200.00	0.00	200.00	0.00	Ven INV-000000005	
MED-140000049	3/10/2026		EGP	19,800.00	19,800.00	19,800.00	19,800.00		
Ven INV-000000005	2/15/2026	فاتورة خدمات	EGP	0.00	20,000.00	0.00	20,000.00	vpay-000000001	
vpay-000000001	3/10/2026		EGP	19,800.00	0.00	19,800.00	0.00	Ven INV-000000005	
Total						**39,800.00**	**39,800.00**		

Vendor balance list

Form path

Accounts Payable → Inquiries → Vendor Balance

Description

This report shows the balance owed to each Vendor

Vendor balance list

Modern Electronics Distribution

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Currency Accounting currency

		1/1/2026	1/1/2026 - 3/30/2026		1/1/2026 - 3/30/2026			3/30/2026
Vendor account	**Name**	**Opening balance**	**Debit**	**Credit**	**Debit**	**Credit**	**Total**	**Closing balance**
MED-000001	Cairo Technology Suppliers	0.00	9,800.00	30,000.00	9,800.00	30,000.00	-20,200.00	-20,200.00
MED-000002	Delta Office Equipment	0.00	39,800.00	39,800.00	39,800.00	39,800.00	0.00	0.00
MED-000003	Nile Technology Solutions	0.00	0.00	40,000.00	0.00	40,000.00	-40,000.00	-40,000.00
MED-000004	Global Tech Trading	0.00	0.00	60,000.00	0.00	60,000.00	-60,000.00	-60,000.00
MED-000005	Smart Systems Co	0.00	108,500.00	168,500.00	108,500.00	168,500.00	-60,000.00	-60,000.00
MED-000006	TechWorld Distribution	0.00	119,700.00	194,700.00	119,700.00	194,700.00	-75,000.00	-75,000.00
Total		**0.00**	**277,800.00**	**533,000.00**	**277,800.00**	**533,000.00**	**-255,200.00**	**-255,200.00**

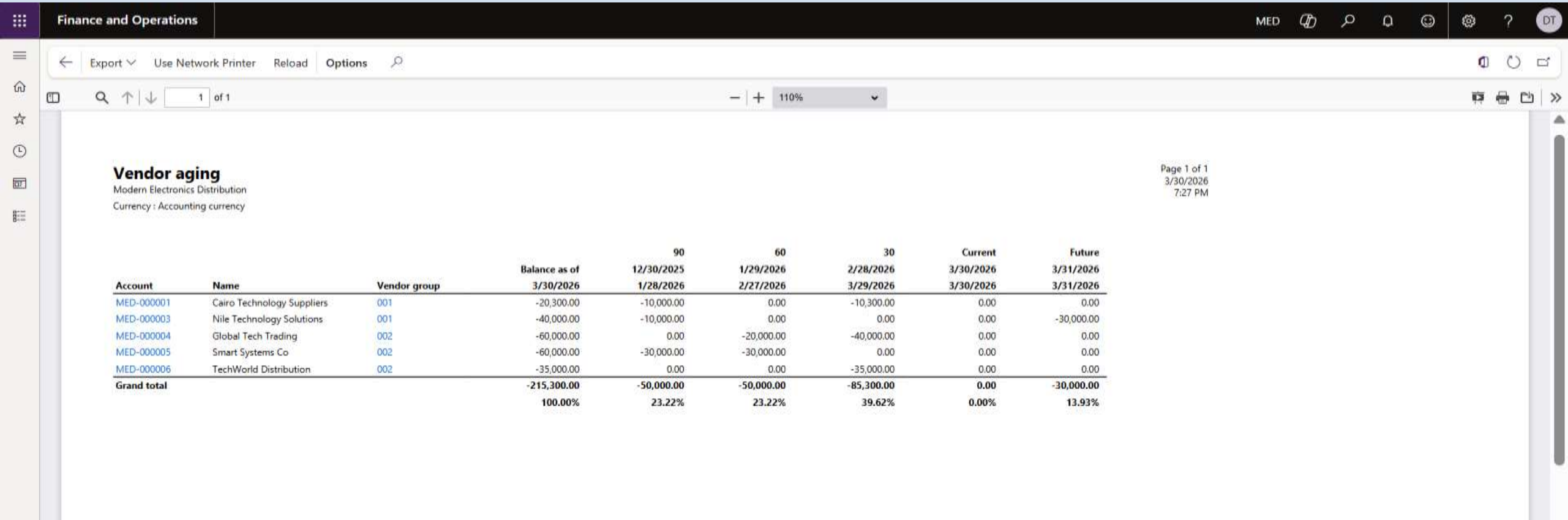
Vendor Aging Report

Form path

Accounts Payable → Inquiries → Vendor aging report

Description

Shows vendor aging balances classified based on aging periods



Vendor aging

Modern Electronics Distribution

Currency : Accounting currency

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Account	Name	Vendor group	Balance as of 3/30/2026	90 12/30/2025 1/28/2026	60 1/29/2026 2/27/2026	30 2/28/2026 3/29/2026	Current 3/30/2026 3/30/2026	Future 3/31/2026 3/31/2026
MED-000001	Cairo Technology Suppliers	001	-20,300.00	-10,000.00	0.00	-10,300.00	0.00	0.00
MED-000003	Nile Technology Solutions	001	-40,000.00	-10,000.00	0.00	0.00	0.00	-30,000.00
MED-000004	Global Tech Trading	002	-60,000.00	0.00	-20,000.00	-40,000.00	0.00	0.00
MED-000005	Smart Systems Co	002	-60,000.00	-30,000.00	-30,000.00	0.00	0.00	0.00
MED-000006	TechWorld Distribution	002	-35,000.00	0.00	0.00	-35,000.00	0.00	0.00
Grand total			**-215,300.00**	**-50,000.00**	**-50,000.00**	**-85,300.00**	**0.00**	**-30,000.00**
			100.00%	**23.22%**	**23.22%**	**39.62%**	**0.00%**	**13.93%**

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Conclusion

Project Summary:

The Accounts Payable Implementation Project in Microsoft Dynamics 365 Finance successfully established a structured and automated AP process, covering vendor setup, invoice management, payment processing, and reporting.

Key Achievements:

Configured legal entities, vendor groups, and posting profiles for accurate financial transactions.
Streamlined invoice journals, settlement processes, and payment methods for operational efficiency.
Implemented payment schedules, terms of payment, and cash discounts to optimize cash flow.
Generated vendor reports and aging analysis to enhance monitoring and decision-making.

Benefits Realized:

Improved accuracy and consistency in vendor transactions.
Enhanced control and compliance with financial policies.
Increased efficiency in accounts payable processing.
Better visibility into outstanding liabilities and cash management.

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وزارة الاتصالات
وتكنولوجيا المعلومات

Thank You!

Microsoft Dynamics 365